

WHAT IS PRESS NOTE 3?

- **Press Note 3 of 2020 amended the FDI policy mandating that countries that share a land border with India can only invest under the government route**
- **The rule also applies to cases where the beneficial owner of any investment into India is situated in one of these countries**
- **The aim was to curb an opportunistic takeover of an Indian company during the Covid-19 pandemic**
- **Economic Survey 2023-24 had suggested FDI inflows from China can help India boost exports and increase participation in global value chains**



with Chinese President Xi Jinping on the sidelines of the 16th BRICS Summit at Kazan in the Russian republic of Tatarstan. This was the first formal interaction between the two leaders in five years since the Galwan clash. Their historic handshake paved the way for a dialogue to begin.

More recently, on December 3, External Affairs Minister S. Jaishankar informed the Lok Sabha that India-China relations have seen signs of improvement in resolving some border issues, including the October agreement on patrolling protocols along the Line of Actual Control (LAC). “In the coming days, we will be discussing de-escalation and effective management of our activities in the border areas,” he said.

Then on December 18, India and China held the first boundary talks in Beijing between the Special Representatives of the two countries— National Security Advisor Ajit Doval and Chinese Foreign Minister Wang Yi—after a gap of five years, where they affirmed the disengagement agreement at the LAC.

Earlier, the government’s Economic Survey of 2023-24 had made waves for its suggestion that India

\$2.5 BILLION

| 67

**TOTAL FDI EQUITY INFLOW
INTO INDIA FROM CHINA, FROM
APRIL 2000 TO SEPTEMBER
2024, PER DPIIT**

revisit the FDI curbs. The Survey argued that FDI inflows from China can help India boost exports and increase participation in global value chains.

“...focusing on FDI from China seems more promising for boosting India’s exports to the US, similar to how East Asian economies did in the past. Moreover, choosing FDI as a strategy to benefit from the China plus one approach appears more advantageous than relying on trade,” the Survey, presented in Parliament on July 22, had said.

Expectations are growing that the two trading partners will try to normalise investment ties and ease the movement of skilled manpower and experts. More investments could also help boost domestic manufacturing and create jobs.

Biswajit Dhar, a Distinguished Professor at the Council for Social Development, feels India and China seem to be moving towards an end of hostilities. “There also seems to be some realisation that FDI from China is useful for India. This will likely lead to